

breathe a tragic sigh for years to come. If your company doesn't automatically enroll you, all you have to do is go to your company's benefits site or benefits officer and get the details on how to enroll. I hope that by the time you finish this chapter, you'll not only keep your contribution level where it is, but also add more to it.

A lot of you are probably thinking, "But I need every single penny of my paycheck!" I know you feel that way, but you simply have to take advantage of these plans, even if it means saving just a small amount every month. I get more mail from people saying how glad they are that they forced themselves to do this than I get on just about any other topic. In the end, these people didn't really miss the \$20 a week they would have spent elsewhere, and they know that when it really counts, they'll be happy they have something to show for it.

As of 2009, the maximum amount of annual *before-tax* income an employee can contribute to a 401(k) is \$16,500. (Actually, the maximum you're permitted to contribute may be less, depending on factors such as your salary and your employer's contributions, if any, to your plan.) If you've just started your first job, this may seem like an insane sum, but remember, it's the *maximum*. You can start with much less.

One of the biggest benefits of a 401(k) is that many employers match a portion of the amount you contribute with a contribution of their own. Many companies contribute fifty cents or a dollar for every dollar you put in, up to a fixed maximum (often 2% to 6% of your salary). That's the equivalent of an immediate 50% (or even 100%) return on your investment. (Of course, in these tough economic times, some companies are cutting back on their matches.) To take advantage of a match, if you have one, try to contribute at least the maximum amount for which you are eligible to receive matching funds. If your so-called "adjusted gross income" is \$30,000 and your company matches \$1 for every \$1 you contribute up to 6% of your salary, you'd want to contribute at least \$1,800 to make sure you get the full \$1,800 the company will match—in total, you'd be putting away \$3,600 a year.

Contributions to 401(k)s are siphoned from your paycheck by your employer. The truth is, after a while, most people don't even notice the money that's being skimmed off and discover that they're saving faster than they ever thought possible. Now is the time to act.